Practice workbook · Credit control and whether to sell on credit

Practical steps to get customers to pay on time and reduce bad debts, and judging a proposal to start, stop or tighten selling on credit.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-08

1. Question 15 · part c · 5 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

15 Martina, a retailer, maintains a full set of accounting records.

On 1 April 2022, Martina owed Rafa $640 for goods supplied.

During April 2022, the following transactions took place between Martina and Rafa.

April 2022	Transaction
12	Purchased goods, list price $850, less a trade discount of 20%
19	Returned goods, list price $100, from the order received on 12 April 2022
29	Paid the balance owing at 1 April 2022 by credit transfer after taking a cash discount of 5%

(a) State the book of original entry for **each** transaction.

(3)

April 2022	Book of original entry
12	
19	
29	

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1. Question 15 · part c · 5 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

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(b) (i) Prepare the account of Rafa for the month of April 2022. Balance the account on 30 April 2022 and bring the balance down on 1 May 2022.

(6)

Rafa Account

Date 2022	Details	$	Date 2022	Details	$

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(ii) State in which section of the statement of financial position at 30 April 2022 the balance of Rafa's account would appear.

(1)

.....

1. Question 15 · part c · 5 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

Martina currently offers only cash sales and proposes to offer credit terms to her customers.

(c) Evaluate whether Martina should proceed with this proposal.

(5)

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(Total for Question 15 = 15 marks)

1. Question 15 · part c · 5 marks · Working and answer

Working and answer

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2. Question 18 · part f · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part f only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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2. Question 18 · part f · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part f only.

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(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

2. Question 18 · part f · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part f only.

(e) Explain why the prudence concept applies when creating a provision for irrecoverable debts.

(3)

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(f) State **one** way in which Xi could reduce his irrecoverable debts.

(1)

(Total for Question 18 = 15 marks)

2. Question 18 · part f · 1 mark · Working and answer

Working and answer

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3. Question 16 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

16 Vijul provided the following information for the year ended 31 March 2023.

	$
Trade receivables ledger control account balance at 1 April 2022	19 900
Trade receivables ledger control account balance at 31 March 2023	**To be calculated**
Cash sales	1 444
Credit sales	198 301
Customer cheque dishonoured	210
Contra/set off to trade payables ledger	1 325
Discount allowed	1 274
Discount received	1 306
Irrecoverable debts	350
Receipts from credit customers	196 612
Returns inwards	570
Returns outwards	682

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3. Question 16 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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(a) Prepare the trade receivables ledger control account for the year ended 31 March 2023.
Balance the account on this date and bring the balance down on 1 April 2023.

(10)

Trade Receivables Ledger Control Account

Date	Details	$	Date	Details	$

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Vijul maintains a provision for irrecoverable debts at 5% of trade receivables.

(b) Prepare the provision for irrecoverable debts account for the year ended 31 March 2023 showing the transfer to the income statement.

(3)

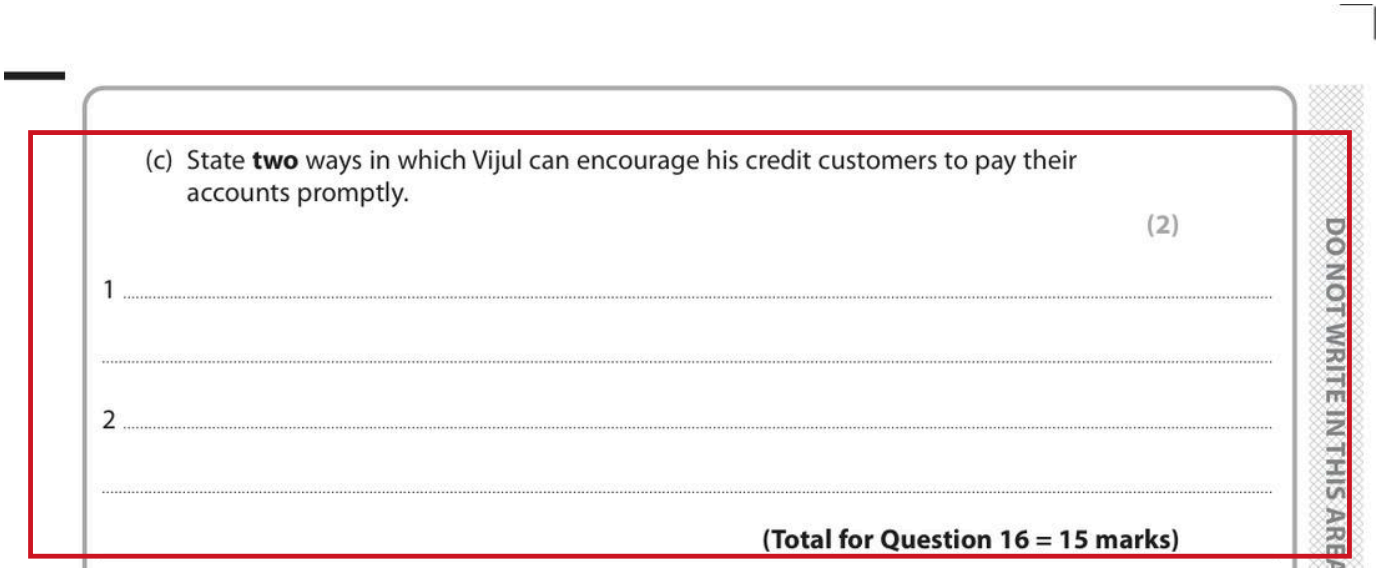
Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

3. Question 16 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.



(c) State **two** ways in which Vijul can encourage his credit customers to pay their accounts promptly.

(2)

1 .....

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2 .....

.....

(Total for Question 16 = 15 marks)

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Working and answer

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4. Question 18 · part b · 4 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

.....

.....

2 .....

.....

.....

Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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4. Question 18 · part b · 4 marks · Working and answer

Working and answer

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5. Question 18 · part e · 5 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

.....

.....

2 .....

.....

.....

Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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5. Question 18 · part e · 5 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Explain the effect on the profit for the year ended 31 December 2024 if Asif's trade receivables had decreased and his provision for irrecoverable debts was maintained at 2% of trade receivables.

(2)

Asif is considering selling goods for cash only, with all customers being required to pay for their goods immediately.

(e) Advise Asif whether he should proceed with this proposal.

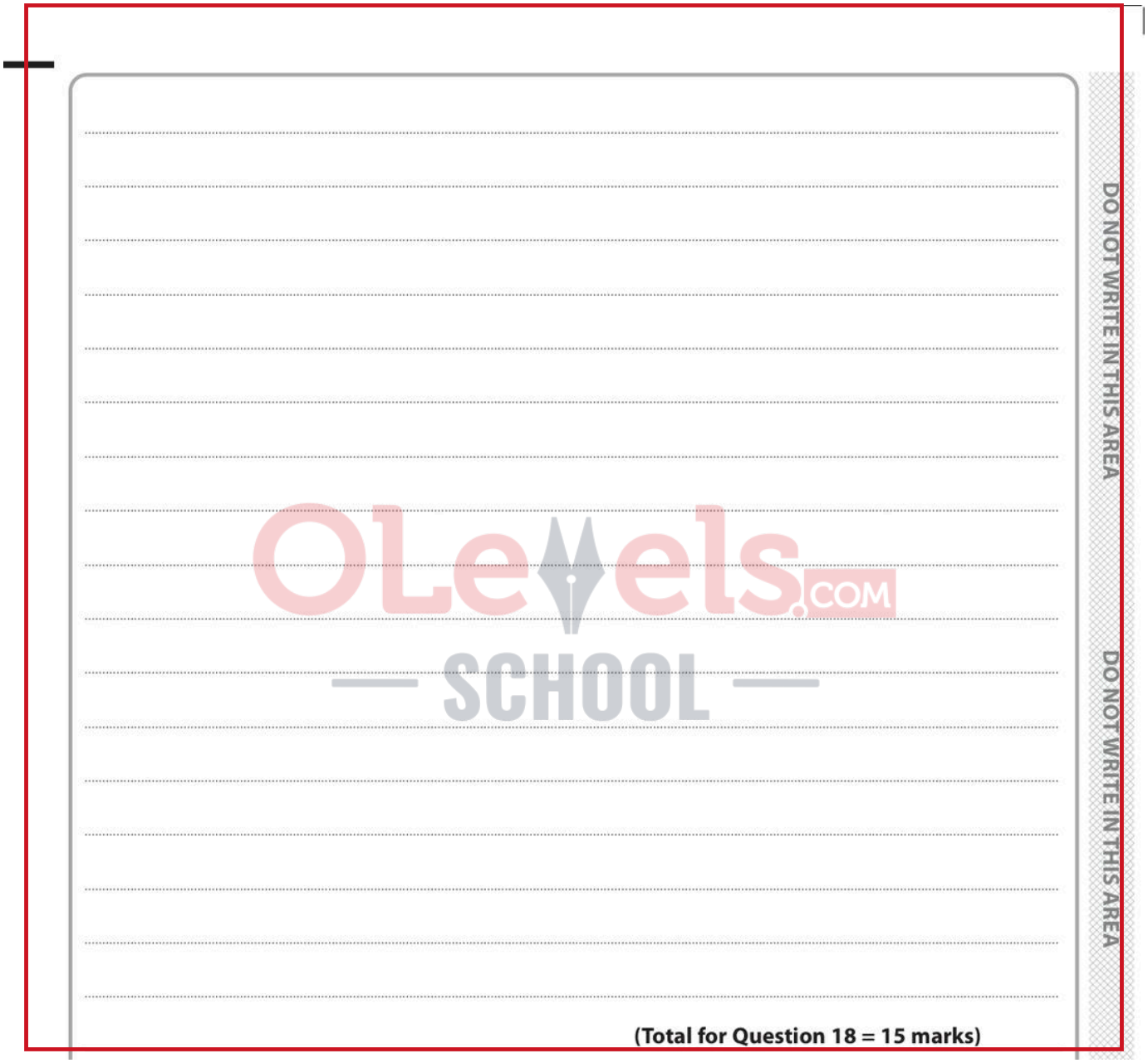
(5)

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5. Question 18 · part e · 5 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.



5. Question 18 · part e · 5 marks · Working and answer

Working and answer

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6. Question 16 · part b · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

16 Eldin provided the following information relating to his trade receivables ledger control account for the month ended 31 August 2020.

	$
Credit sales	29 535
Customer overpayment refunded by cheque	160
Discount allowed	984
Interest charged	119
Irrecoverable debts	597
Receipts from credit customers	36 250
Returns inwards	380
Trade payables set-off	665
Credit balances at 31 August 2020	240

(a) Prepare the trade receivables ledger control account for the month ended 31 August 2020. Balance the account on this date and bring the balances down at 1 September 2020.

(10)

Trade Receivables Ledger Control Account

Date 2020	Details	$	Date 2020	Details	$
Aug 1	Balance b/d	46 220			

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6. Question 16 · part b · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

Eldin currently makes all of his sales on a credit basis. He is considering making cash sales only in the future.

(b) Explain **one** advantage and **one** disadvantage of this proposal and advise Eldin whether or not he should make the change.

(5)

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(Total for Question 16 = 15 marks)

6. Question 16 · part b · 5 marks · Working and answer

Working and answer

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